

SMU x LUSHPROTEIN

Building Customer Loyalty After the First Purchase

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Project Overview



Core Problem

75%

churn rate

Key Metric

60 days

window for 2nd purchase

Business at a Glance

of unique customers

13,780

Total orders

27,350

Repeat Rate

32.4%

60-day retention

18.1%

Median days to 2nd order

49 days

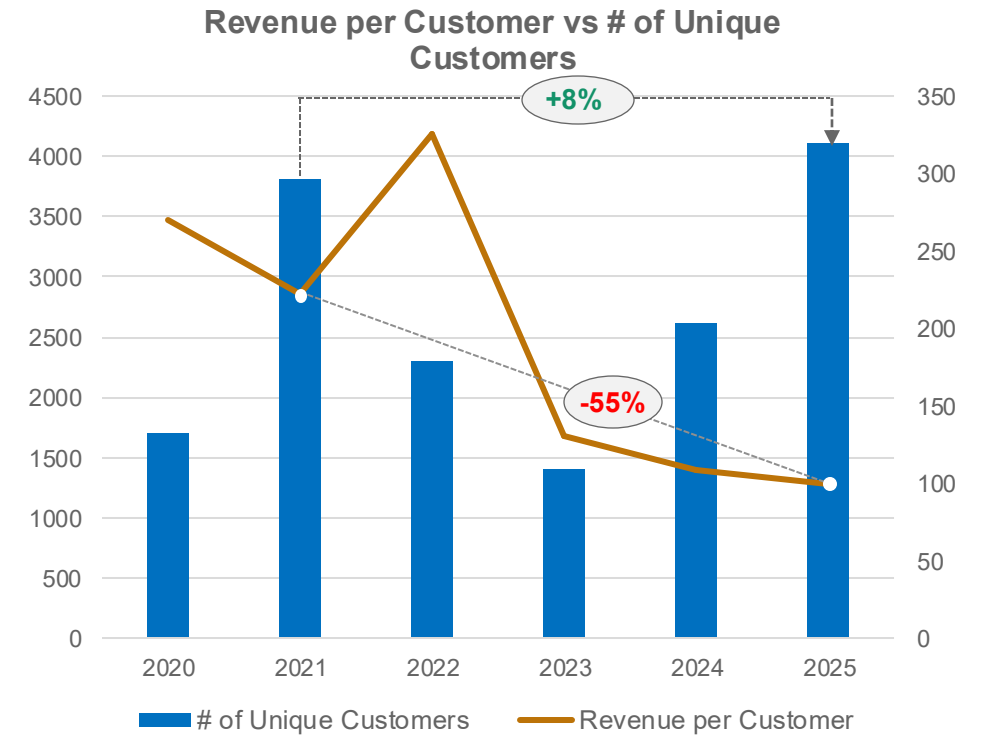
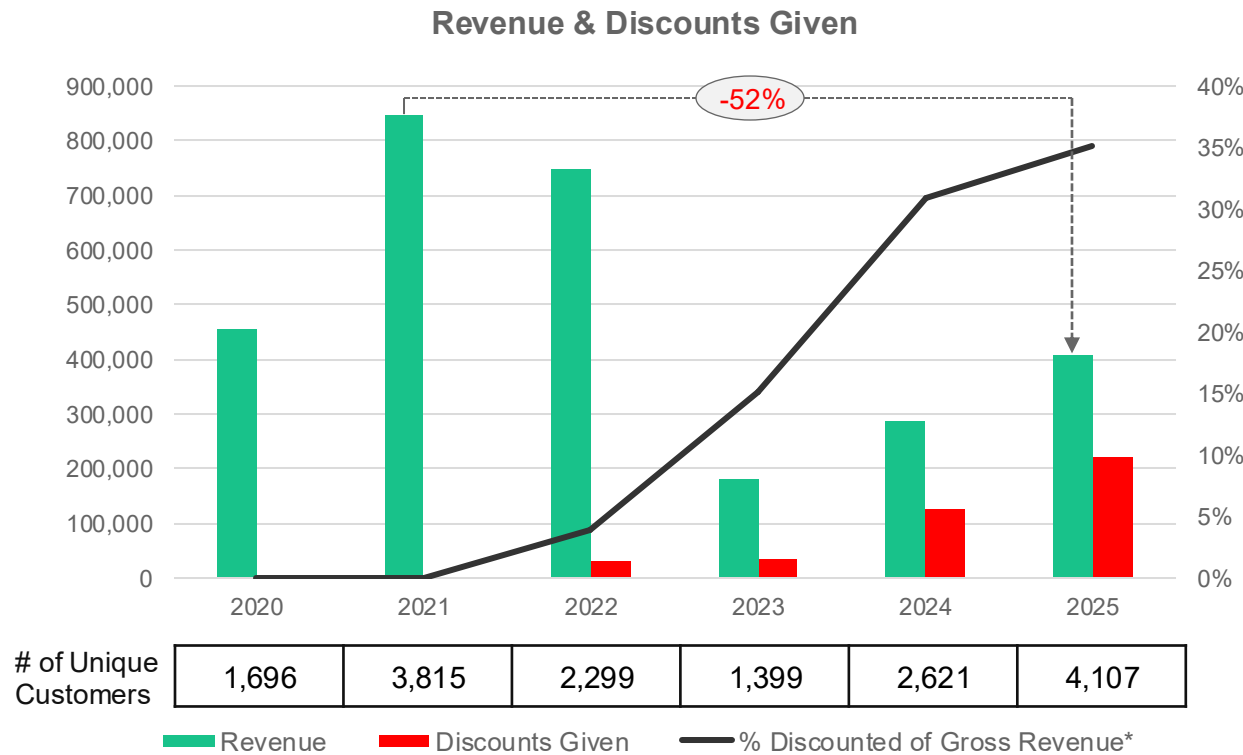
Subscriber LTV uplift

+166%

vs non-subscribers

- Nearly **8 in 10** first-time buyers never return within 60 days - the window when product biology begins delivering results and when almost all loyalty decisions are made.
- The overall 32.4% repeat rate includes late returners; the **60-day rate of 18.1%** is the operationally critical number.

Deep discounting destroys cohort quality

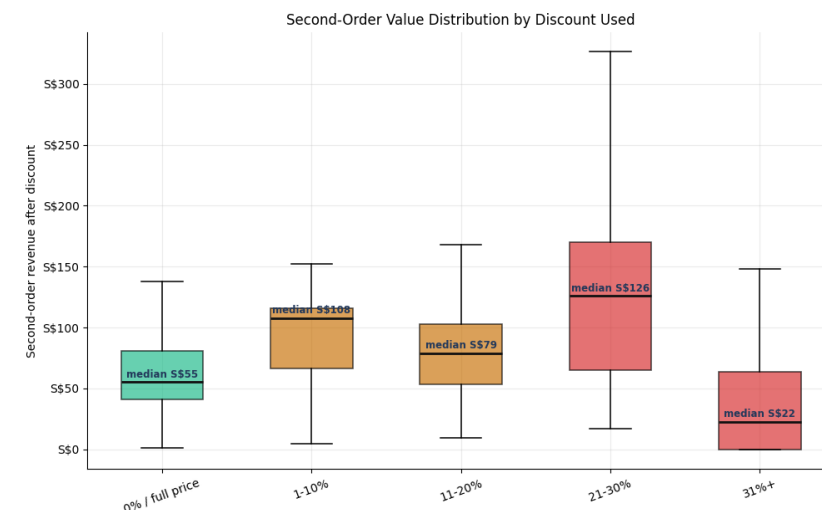
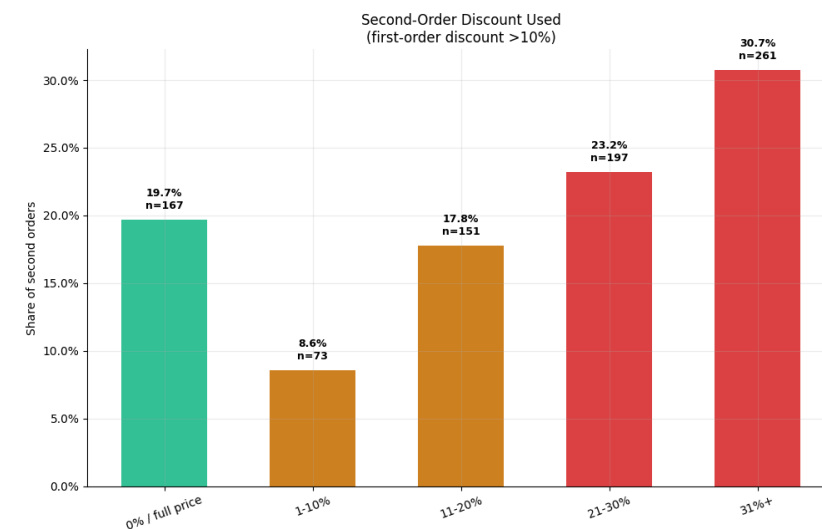
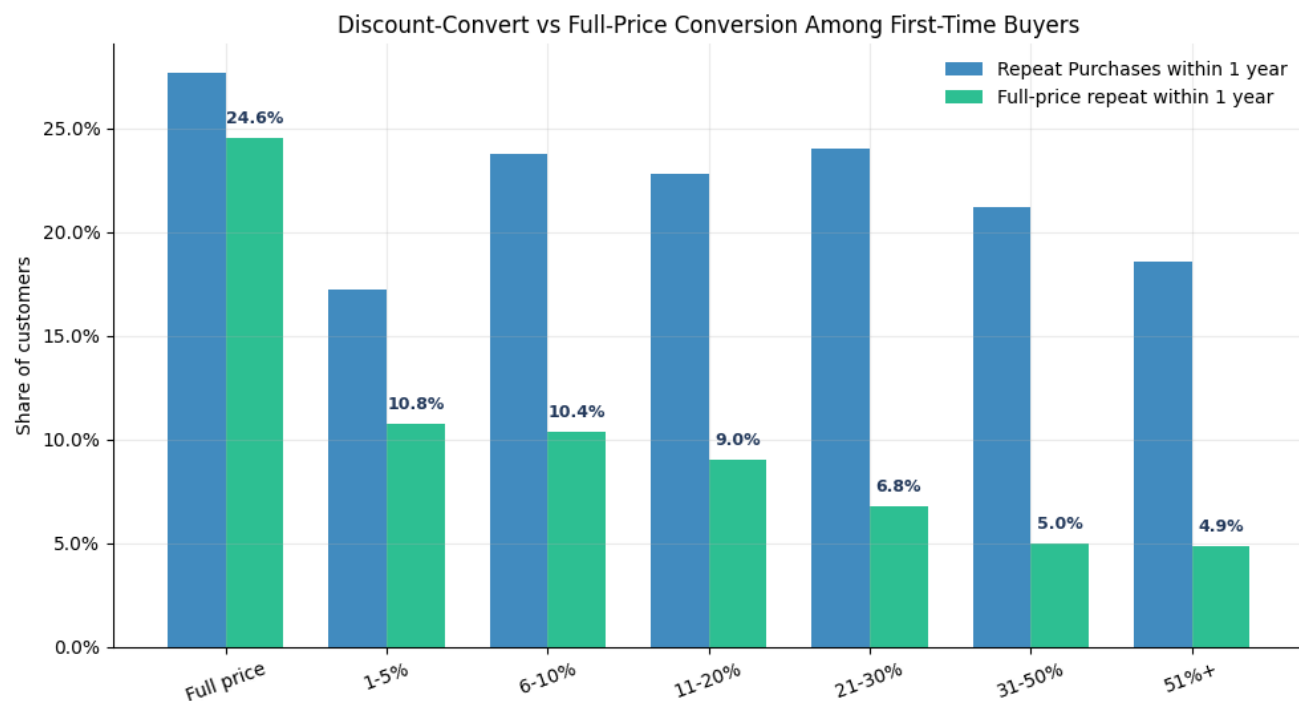


- From 2021 to 2025, number of unique customers **increased by 8%** but revenue per customers **reduced by 55%**
- The business is acquiring **more customers at lower quality** – paying more to earn less and compounding the damage through weaker repeat buyers.
- The business has **more customers than ever** but **earns less than it did 4 years ago**

*% Discounted of Gross Revenue = Discount Given ÷ (Price: Total + Discount Given)

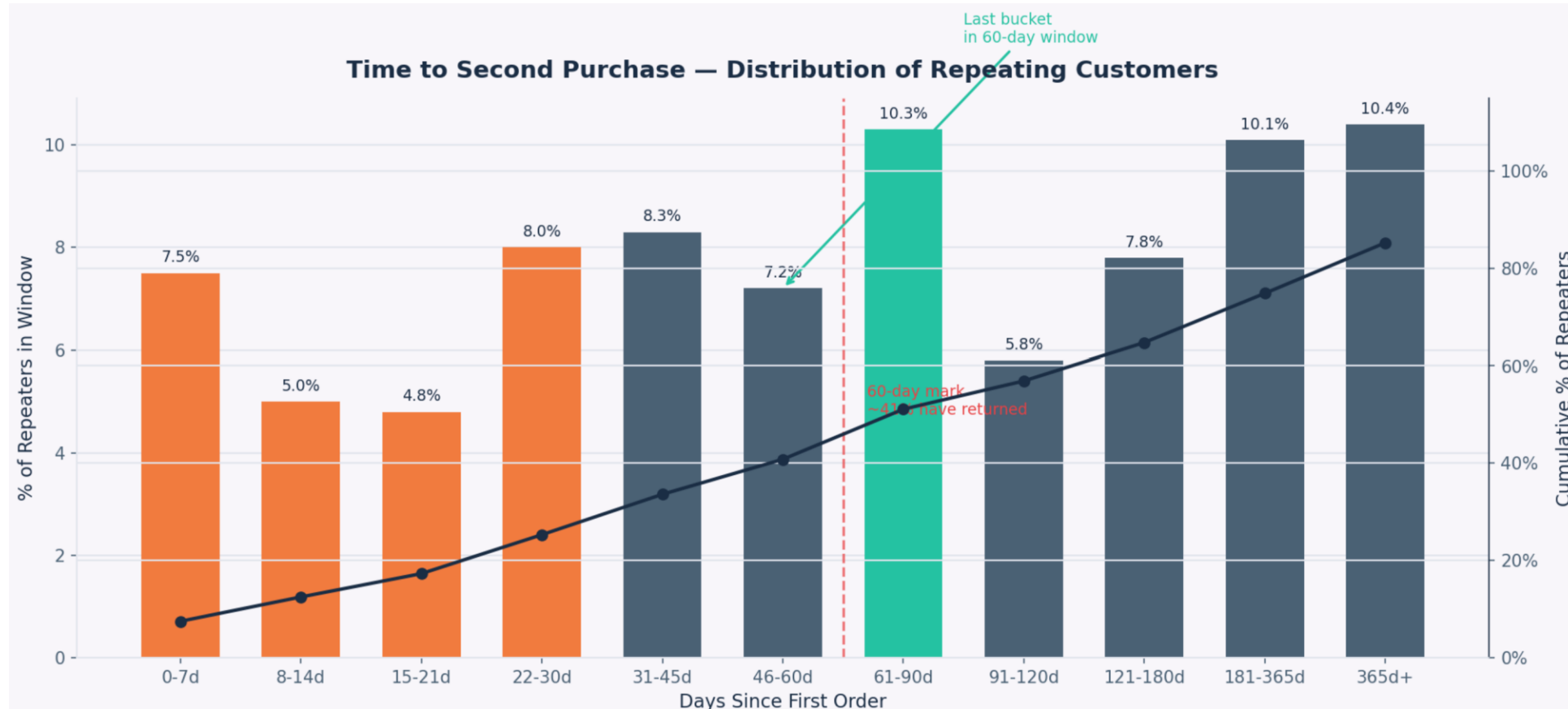
Deep discount destroys loyalty?

Do >10% Discount-Acquired Customers Come Back At Full Price?



- Generally, people who received higher discounts are **less likely** to become full-price repeat purchases
- However, we do see that for second-order purchases, having a **moderate discount (< 30% off)** generated better revenue than full-price converts
- Promotional campaign that uses **deep discounts (>30% off)** is acquiring cohorts that are materially **less loyal and less profitable** over time. The brand is spending margin to attract weaker customers.

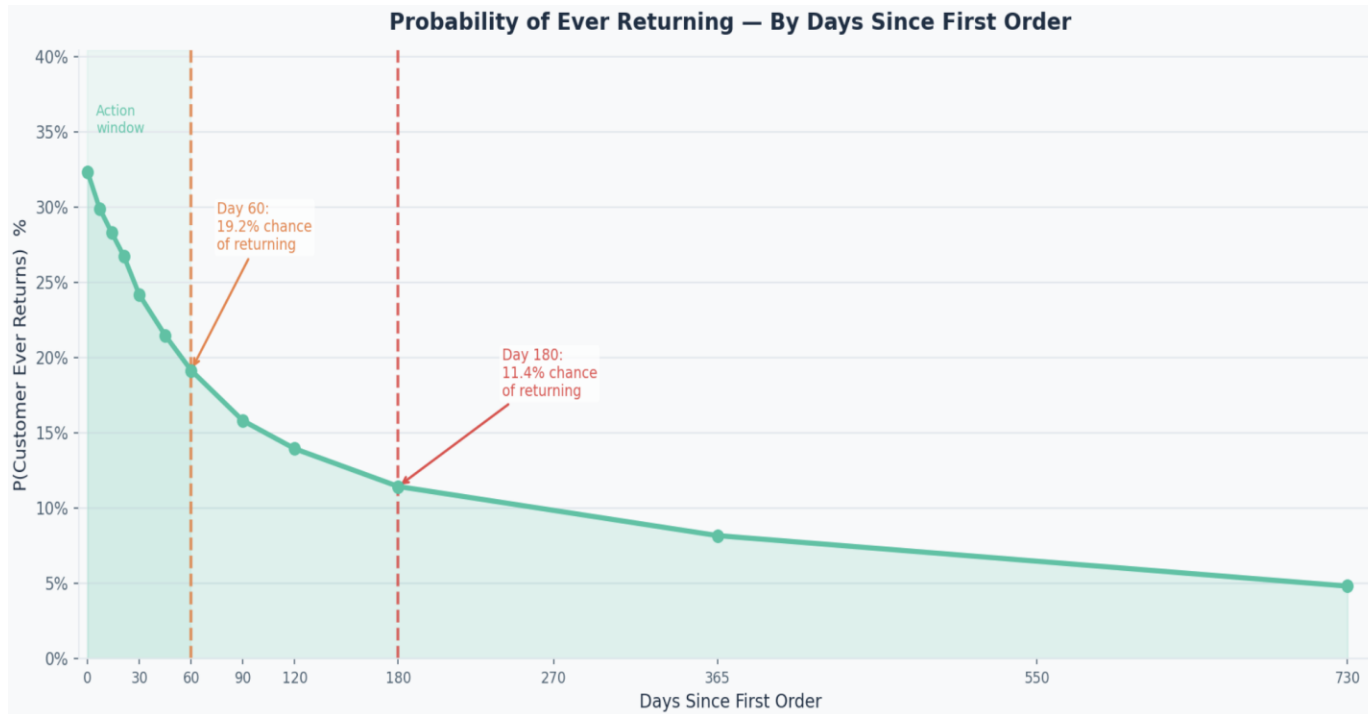
Time to second purchase



- **41%** of customers who ever come back do so **within 60 days**.
- The **61–90 day** window is the **largest single repurchase** bucket within the first year.
- **51% of all repeat buyers** return within 90 days.

What happens after the first order?

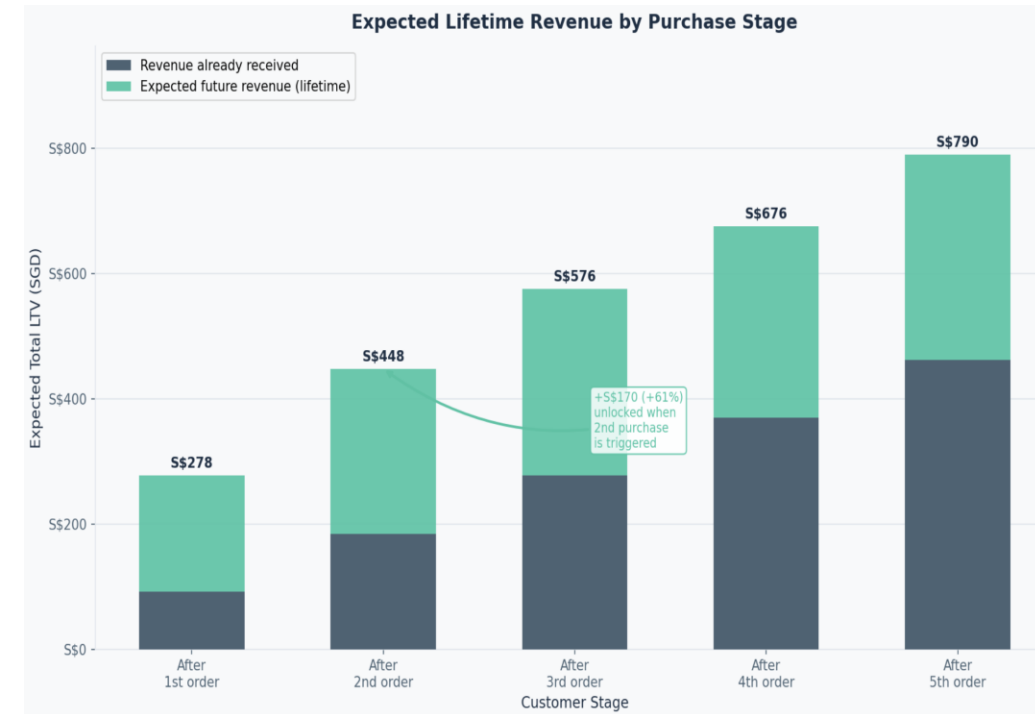
Survival Curve – P(Ever Return) Declines each day



19.2% chance of return left by Day 60

11.4% chance of return left by Day 180

Value Unlocked per Purchase Stage



+61% LTV unlocked by 2nd purchase

- Every day without a 2nd purchase is a **permanent loss**. By Day 60, the window is already half-closed - but triggering that return unlocks **61% more lifetime value**.

The retention opportunity

At-risk Pool

~ 4,100

2024 – 2025 first timers who did not
make 2nd order

Target

15% hit rate

Target to hit 15% of customers to
come back

Revenue per Customer

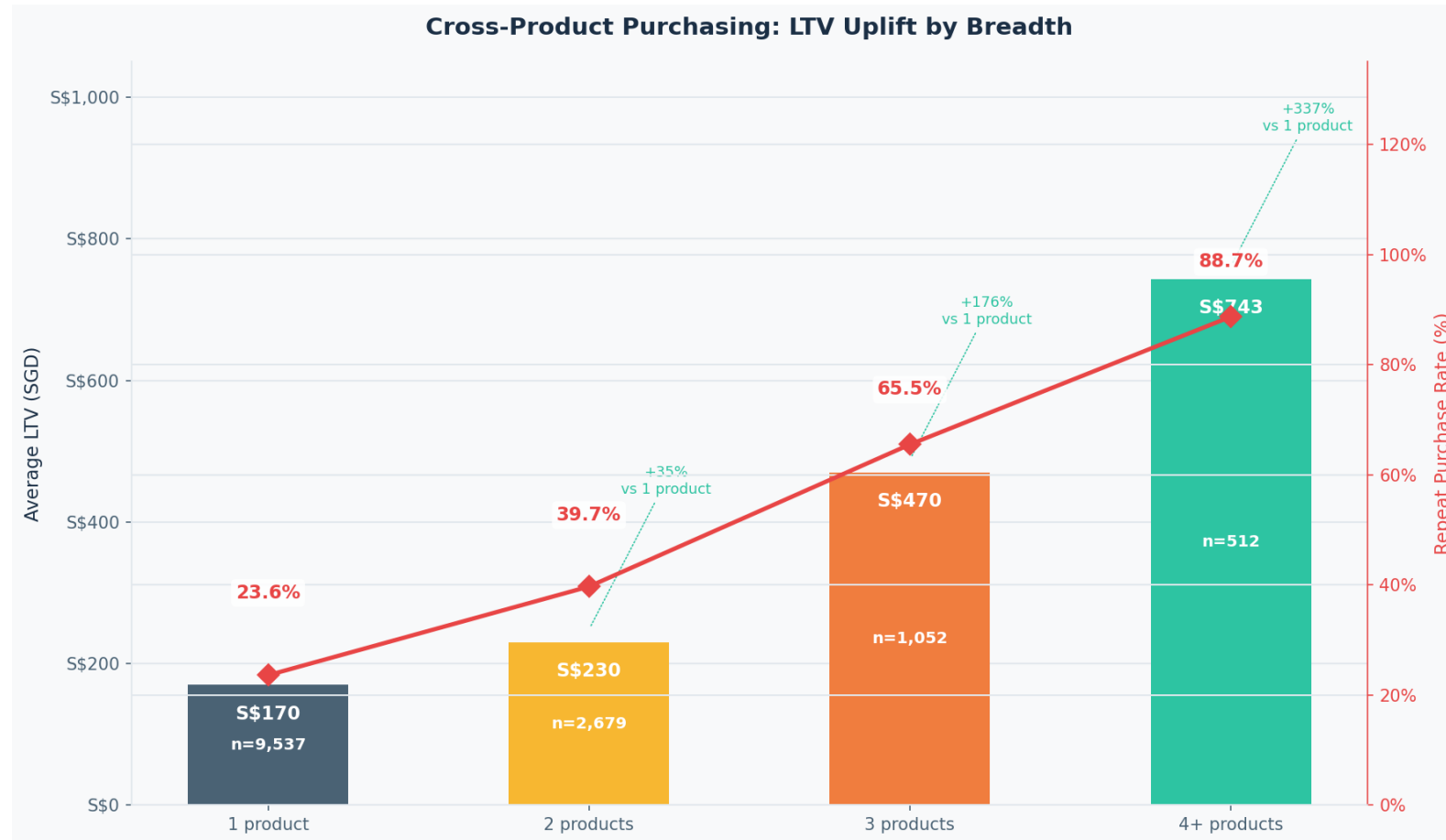
S\$356

Each customer who comes back is worth
S\$356 is LTV – Chain of future orders

Potential Business Value: S\$ 219,000

By converting 15% of ~4,100 at-risk first-timers through a post-purchase program

The cross-sell opportunity

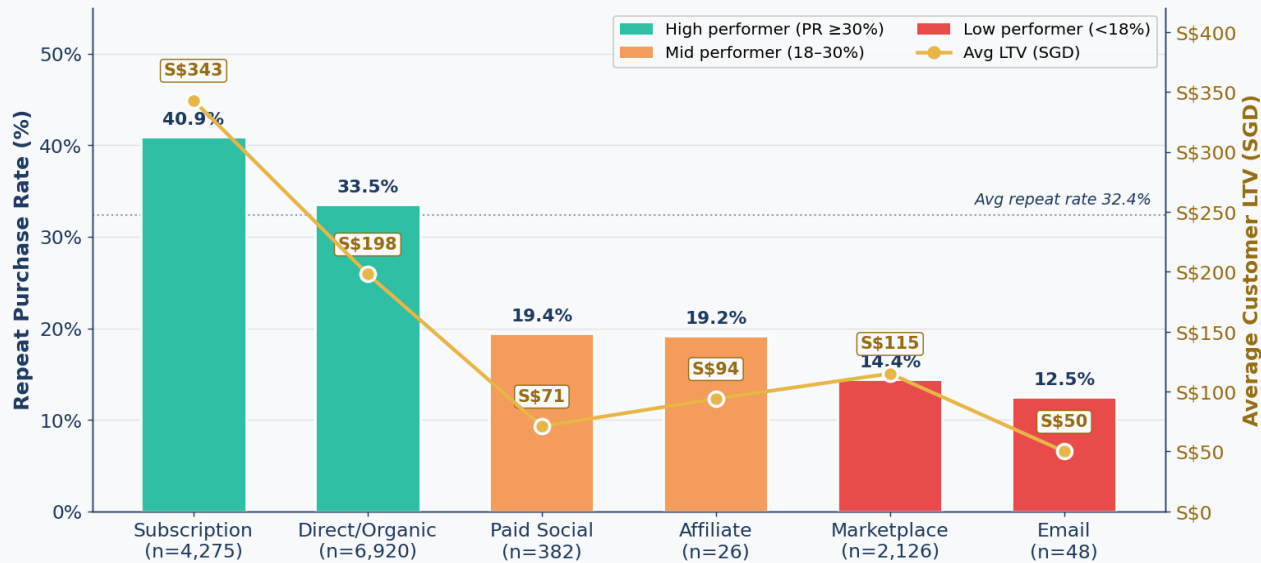


Moving a customer from **1 to 3 product categories**:

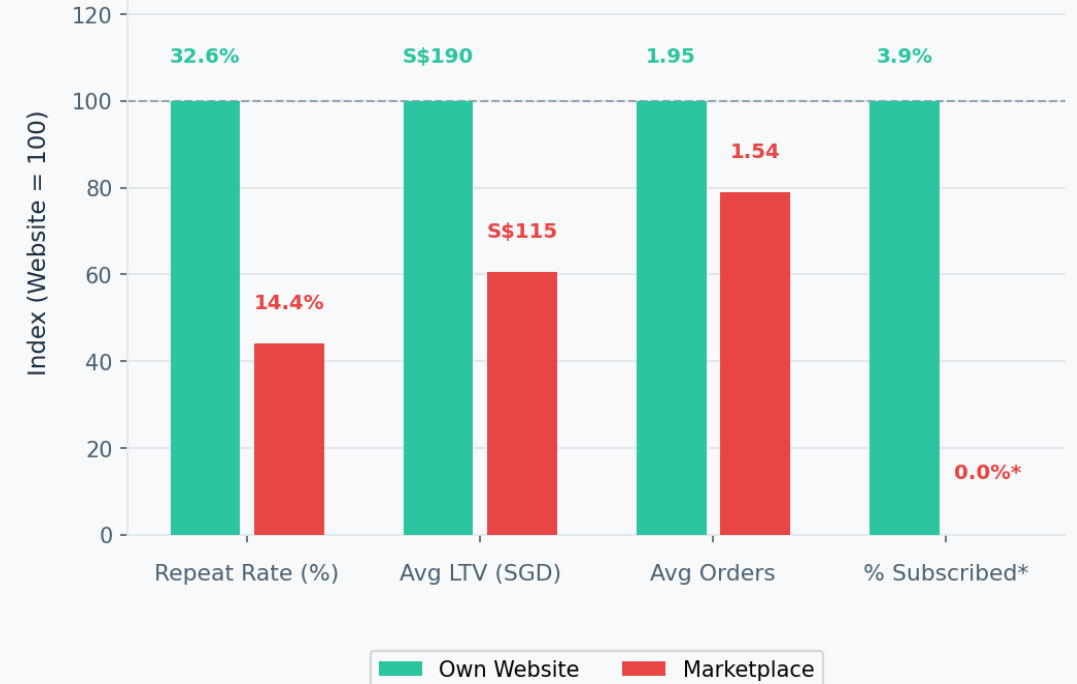
- Raises **repeat rate** from 23.6% → 65.5% (**+178%**)
- Raises **avg LTV** from S\$170 → S\$470 (**+176%**)

Not all customers are equal

Repeat Rate & Average LTV by Acquisition Channel



Marketplace vs Own Website
(Indexed: Website = 100 | *Shopify subscriptions only)



- We have healthy customer groups – Subscription and Direct/Organic.
- Customers via **Marketplace take 15% out of total customers**, but they **underperform on every metric** we can measure.
 - Direct/Organic vs Marketplace: repeat rate(x2.3 gap), Avg LTV(x1.7 gap), Avg Orders(x1.3 gap), 0 subscriptions via Marketplace*

*Due to the nature of platform, we cannot track the subscription rate

Next Steps

	Opportunity	Potential Business Value	Action Plan
Marketing	Effective discounting strategy	KSGD 528	▪ Reduce structural discounting ▪ Rebuild full-price demand
Customer retention	60% repeat 2 nd purchase in 60 days	KSGD 219	▪ Post-purchase email flow (Day 7/30/45) ▪ Win-back campaign at Day 55 before cliff
Cross-sell	Sole-buyers to cross-cat buyers	KSGD 200	▪ Cross-sell strategy ▪ Product recommender
Channel	Marketplace strangers to loyal subscribers	KSGD 176	▪ Redirect budget to brand-keyword retargeting ▪ Cap paid promotion spend on Marketplace

Thank you

Questions?